capital [38] of ` 8 at that particular time. ***The capital adequacy ratio is the percentage of total capital to the total risk - weighted assets*** (see reference 39).

Capital Adequacy Ratio (CAR), a measure of a bank's capital, is expressed as a percentage of a bank's risk weighted credit exposures:

CAR= Total of the Tier 1 & Tier 2 capitals ÷ Risk Weighted Assets

Also known as 'Capital to Risk Weighted Assets Ratio (CRAR)' this ratio is used to protect depositors and promote the stability and efficiency of financial systems around the world. Two types of capital were measured as per the **Basel II** norms – *Tier 1* capital, which can absorb losses without a bank being required to cease trading, and *Tier 2* capital, which can absorb losses in the event of a winding-up and so provides a lesser degree of protection to depositors. The new norms (**Basel III**) has devised a third category of capital- *Tier 3* capital.

The RBI introduced the ***capital-to-risk weighted assets ratio*** (CRAR) system for the banks operating in India in 1992 in accordance with the standards of the BIS—as part of the financial sector reforms.[39] In the coming years the Basel norms were extended to term-lending institutions, primary dealers and non-banking financial companies (NBFCs), too. Meanwhile the BIS came up with another set of the CAR norms, popularly known as **Basel-II.** The RBI guidelines regarding the CAR norms in India have been as given below:

1. **Basel-I** norm of the CAR was to be achieved by the Indian banks by March 1997.
2. The CAR norm was raised to 9 per cent with effect from March 31, 2000 (*Narasimham Committee-II had recommended to raise it to 10 per cent in 1998*).[40]
3. Foreign banks as well as Indian banks with foreign presence to follow ***Basel-II norms*** w.e.f. March 31, 2008 while other scheduled commercial banks to follow it not later than March 31, 2009. The Basel-II norm for the CAR is 12 per cent.[41]

WHY TO MAINTAIN CAR?